INSURANCE AND PENSIONS COMMISSION

FOURTH QUARTER REPORT

FOR

LIFE ASSURERS

FOR THE YEAR ENDED 31 DECEMBER2014

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
NOTE:	**ALL MONETARY FIGURES ARE IN USD**

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2.0 Industry Overview

The report covers 11 direct players and 2 reassurance companies. Econet Life was duly registered in the last quarter last year.

The industry reported $304 million in net premiums written, a 15% growth from the prior year. Total costs were $234 million and slightly out-grew premium inflows. The life sector realized $70million in technical profit down from $72 million in the comparative period last year.

For the year under review, total industry asset base grew by 13% to $1,585 billion from $1,550 billion as at 31 December 2013 (SeeTable 1, below).

The life industry continued to be capitalized adequately except Altfin Life Assurance Company which remains suspended, but must comply with periodic IPEC's investments guidelines as well as sound actuarial input with a medium to long term view to embrace risk based capital in line with emerging best practices.

Table 1 : Financial Performance Indicators for Life Companies for the year ended 31 December 2014

Item	Life Assurers			Life Reassurers			TOTALS		
	Dec 2013	Dec 2014	Growth	Dec 2013	Dec 2014	Growth	Dec 2013	Dec 2014	Growth
Gross Premiums Written ($000)	258,308	299,633	16%	7,057	10,208	45%	268,919	309,841	15%
Net Written Premium	258,163	295,671	46%	5,740	7,989	39%	263,903	303,660	15%
Retention Ratio	99%	99%	-	81%	78%	-3%	98%	98%	0%
Total Gross Claims ($000)	124,739	153,536	23%	2,696	3,568	32%	129,925	157,104	10%
Total Net Claims ($000)	124,739	153,536	23%	2,696	3,568	32%	127,435	157,104	11%
Management Expenses ($000)	52,722	60,289	14%	1,446	1,256	-13%	54,168	61,545	3%
Commissions ($000)	8,952	12,901	44%	1,519	2,420	59%	10,471	15,321	2%
Total Costs($000)	186,413	226,726	22%	5,661	7,244	28%	192,074	233,970	16%
Technical Profit	71,750	68,945	-4%	79	745	843%	71,829	69,690	-3%
Expense Ratio (%)	24%	25%	-4%	52%	46%	-6%	24%	25%	1%
Claims Ratio	48%	52%	4%	47%	45%	-2%	48%	52%	4%
Combined Ratio	72%	77%	-13%	99%	91%	-8%	73%	77%	4%
Total Assets ($000)	1,543,636	1,570,569	2%	6,853	13,983	104%	1,550,489	1,584,552	13%
Current Assets	249,024	341,225	37%	5,183	5,170	0%	236,473	346,395	41%
Current Liabilities	120,785	164,178	36%	652	1,580	143%	82,150	165,758	31%
Total Liabilities ($000)	1,295,430	1,308,784	1%	5,009	6,676	33%	1,265,030	1,315,460	19%
Free Capital($000)	247,907	261,785	6%	1,845	7,307	296%	247,090	269,092	8%
Liquidity Ratio	284%	208%	76%	795%	327%	468%	798%	209%	589%
Capital to liability Ratio	19%	20%	4%	37%	109%	72%	20%	20%	0%
Prescribed Asset Ratio (%)	1%	3%	2%	0	1%	-	1	3%	2%

Section A

Life Assurance Companies

3.0 Update on Number of Operational Institutions

This report is centered on 11 life assurers. The Commission registered Econet Life Assurance in the fourth quarter of the year 2014.

4.0 Net Premiums Written

For the year under review, life companies reported $377million in net written premiums, a 46% growth from the prior year (see Table 2, below).Players must report on their suspense accounts in respect of unallocated premiums.

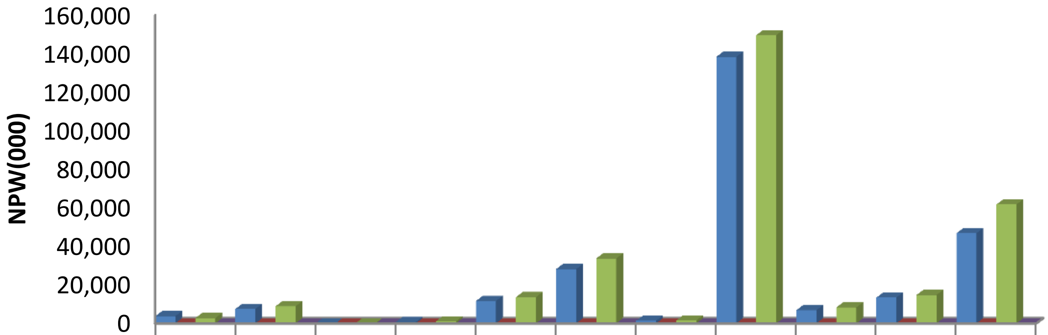
Table2: Net Written Premium Distribution by Company as for the year ended 31 December 2014

Name of Company	NPW (USD)		Movement
	Dec 2013 (000)	Dec 2014(000)	
Altfin	3,668	2,697	-26%
Cbz	7,464	8,812	18%
Econet Life	0	81	-
Evolution	653	1,021	56%
Fidelity	11,582	13,608	17%
FML	28,139	33,666	20%
Heritage	1,362	1,432	5%
Old Mutual	138,384	149,686	8%
Zb Life	6,779	8,260	22%
Zimnat	13,354	14,667	10%
Nyaradzo	46,778	61,741	32%
TOTAL	**258,163**	**295,671**	15%

5.0 Market Share For Life Assurance Companies

From the reported figures, 83% or $245million in net business was written by the top three top companies, an identical market share to the prior year. The Commission continues to view product development biased towards micro-insurance as a potent competitive edge in the foreseeable future of our industry (See Table 2 above and Figure 1 below).

Figure 1: Market share by company for the year ended 31 December 2014



	Altf	Cbz	Eco	Evol	Fidel	FML	Her	OM	Zb	Zimnt	Nyar
Dec,13	3,668	7,464	0	653	11,582	28,139	1,362	138,38	6,779	13,354	46,778
%	1%	3%	0%	0%	4%	11%	1%	54%	3%	5%	18%
Dec,14	2,697	8,812	81	1,021	13,608	33,666	1,432	149,68	8,260	14,667	61,741
%	1%	3%	0%	0%	5%	11%	0%	51%	3%	5%	21%

6.0 Business Composition

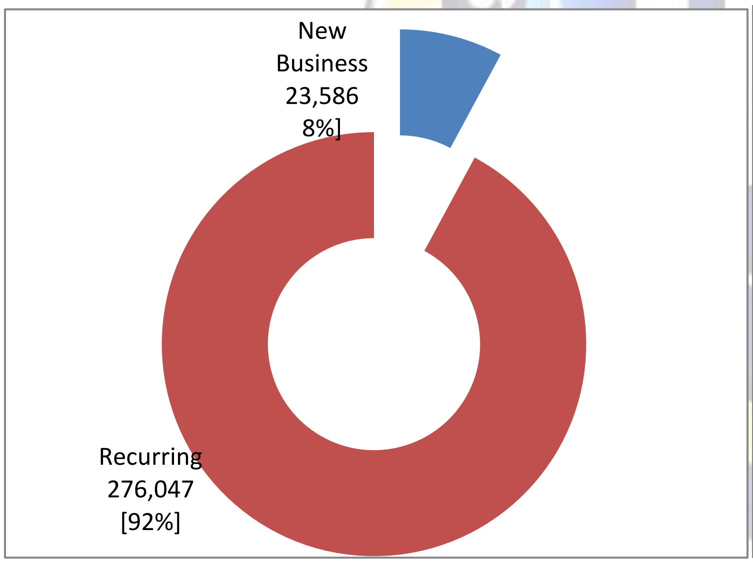
The life assurance industry reportedly wrote $300million in gross premiums. Recurring business remained flat at 92% whilst $24million or 8%was new business.

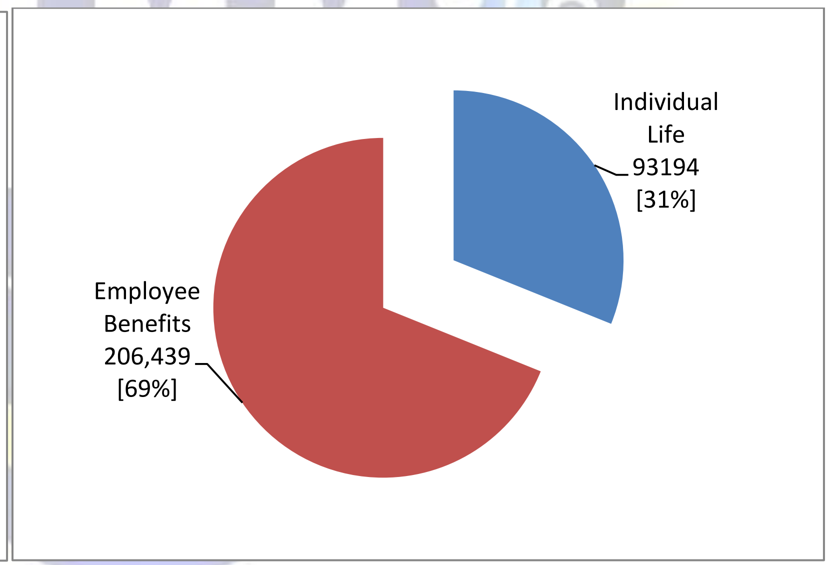
Gross written premiums in respect of employee benefits products fell from 73% reported in December 2013 to 69%of the gross premiums whist the balance of $93 million or 31% was individual lines. This is attributable to depressed corporate business activity and the resultant growth of the informal sector (see Table 3and Figure 2 below).

Table3: Business Composition by Company for the year ended 31December 2014

Co. Name	Individual Life (000)						Employee Benefits (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Dec 2013	Dec 2014	Growth (%)	Dec 2013	Dec 2014	Growth (%)	Dec 2013	Dec 2014	Growth (%)	Dec 2013	Dec 2014	Growth (%)	Dec 2013	Dec 2014	(%)
Altfin	14	467	3236%	-		-	-	-	-	4,173	2,446	-41%	4,187	2,913	-30%
CBZ Life	1,122	103	-91%	4,420	7,179	62%	-	-	-	2,125	1,852	-13%	7,667	9,134	19%
Econet Life	-	111	-	-	-	-	-	-	-	-	-	-	0	111	-
Evolution	-	164	-	412	860	109%	-		-	240	0	-100%	652	1,024	57%
Fidelity	694	674	-3%	3, 552	5,942	-	13	0	-100%	7,711	7,324	-5%	8,418	13,940	66%
FML	3,140	2,412	-23%	9,860	13,077	33%	2,902	6,637	129%	12,494	11,884	-5%	28,396	34,010	20%
Heritage	20	10	-50%	796	1,000	26%	-	0	-	594	475	-20%	1,410	1,485	5%
O. Mutual	3,288	3,020	-8%	5,141	7,909	54%	7,082	6,006	-15%	123,686	133,932	8%	139,197	150,867	8%
Zb Life	1,236	1,149	-7%	1,857	2,159	16%	360	208	-42%	3,906	5,283	35%	7,359	8,799	20%
Zimnat	414	328	-21%	1,740	2,927	68%	490	420	-14%	11,600	11,934	3%	14,244	15,609	10%
Nyaradzo	630	1,433	127%	31,906	42,270	32%	95	444	367%	14,147	17,594	24%	46,778	61,741	32%
TOTAL	**10,558**	**9,871**	-7%	**56,132**	**83,323**	48%	**10,942**	**13,715**	25%	**180,676**	**192,724**	7%	258,308	299,633	16%

Figure 2: Business Composition for the year ended 31 December 2014($000)





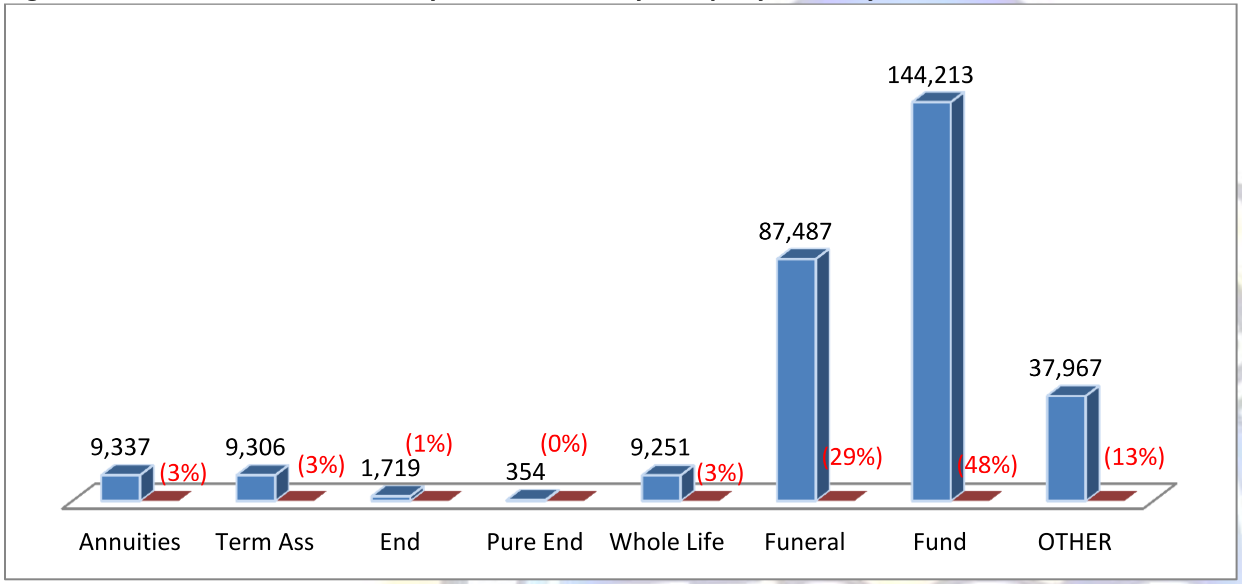
5.2 Business Composition by Class

Fund business contributed 49% (December 2013:53%), group life assurance policies -13% (December 2013:11%) and funeral business-29% (December 2013:26%) of total gross premium written. Resultantly, the named products accounted for a combined 91% of gross premium written with funeral business being the fastest growing class of the business (See Table 4,below).

Table 4: Written Business Classes by Company for the year ended 31December 2013

Co. Name	Annuities(000)			Term Assurance (000)			Endowment			Pure Endowment (000)			Whole Life (000)			Funeral (000)			Fund Business (000)			OTHER/GLA (000)			Total GPW(000)	
	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14
Altfin	10	341	3310	4	31	675	0	0	0	0	0	0	4,173	2,515	-40	0	26	0	0	0	0	0	0	0	4,187	2,913
CBZ Life	0	0	0	3,062	2,995	-2%	0	702	0	0	0	0	0	0	0	4,604	5,436	18	0	0	0	0	0	0	7,666	9,133
Econetlife	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	111	0	0	0	0	0	0	0	0	111
Evolution	0	0	0	0	0	0	0	0	0	0	0	0	139	139	0%	401	390	-3%	112	495	342%	0	0	0	652	1,024
Fidelity	78	74	-5%	0	4	0	708	406	-43%	108	138	28%	307	387	26%	2,569	3,319	29%	7,724	7,324	-5%	476	2,288	381%	11,970	13,940
FML	1,941	5,337	175%	0	1,194	0	155	194	25%	1,446	0	-100%	393	673	71%	9,064	9,162	1%	11,837	10,397	-12%	3,560	7,054	98%	28,396	34,011
Heritage	8	10	25%	0	0	0	5	7	40%	81	100	23%	0	0	0	722	894	24%	0	0	0	594	474	-20%	1,410	1,485
O.Mutual	2,401	3,205	33%	0	0	0	0	0	0	0	0	0	3,241	4,847	50%	2,786	3,530	27%	112,536	118,786	6%	18,232	20,500	12%	139,196	150,868
Zb Life	28	64	129%	801	151	-81%	3	410	13567%	242	116	-52%	34	51	50%	128	356	178%	0	0	0	6,122	7,651	25%	7,358	8,798
Zimnat	229	306	34%	4,922	4,931	0%	113	0	-100%	0	0	0	259	639	147%	1,623	2,522	55%	7,098	7,211	2%	0	0	0	14,244	15,609
Nyaradzo	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	46,778	61,741	32%	0	0	0	0	0	0	46,778	61,741
Total	4,695	9,337	99%	8,789	9,306	6%	984	1,719	75%	1,877	354	-81%	8,546	9,251	8%	68,675	87,487	27%	139,307	144,213	4%	28,984	37,967	31%	261,857	299,633

Figure 3: Gross Written Premium by Product Class by Company for the year ended 31 December 2014



5.2.1Not-taken Up policies and Lapsed Policies

For the year under review, players recorded not –taken- up policies amounting to$472 000(December 2013:$1,065million).Lapse ratios were reportedly in the region of upto 35 %(see Table 5, below). This is on the high side and may reflect pressure selling or some other unethical practices which players and Life Offices of Zimbabwe Association should guard against. Insurers should ensure that their products are easily understood and their sales force is properly trained to avoid mis-selling or misrepresentation.

Should the malpractice warrant s-rating ,the application to the Commission must fairly reflect the laws of natural justice, should not be vindictive in trying to prevent an agent from procedurally dealing with a new insurers and proof of training should be furnished to show that the malpractice was deliberately committed.

Table5: Lapses and Not Taken Up Policies by Company for the year ended 31December 2013

Co. Name	Not taken up policies(000)						Lapse Ratios(%)					
	Individual			Group Business			Individual			Group Business		
	Dec 2013	Dec 2014	Growth	Dec 2013	Dec 2014	Growth	Dec 2012	Dec 2014	Growth	Dec 2013	Dec 2014	Growth
Altfin	-	0	1	4	0	-	58	0	-	58	0	-
CBZ Life	65	30	-54%	-	0	-	3	4	-	-	0	-
Econet Life	-	-	-		0	-		0	-		0	-
Evolution	-	0	-	-	0	-	-	35	-	9	35	-
Fidelity	-	0	-	-	0	-	-	16	-	-	0	-
FML	10	221	2110%	-	0	-	41	50	9%		0	-
Heritage	2	158	7800%	-	0	-	4	0	-	17	0	-
O. Mutual	942	1	-100%	-	0	-	5	8	3%	6	0	-
Zb Life	31	33	6%	-	0	-	61	13	48%	-	0	-
Zimnat	15	29	93%	-	0	-	12	21	10%	-	0	-
Nyaradzo	-	0	-	-	0	-	6	-	-	1	0	-
TOTAL	**1,065**	**472**	-56%	**4**	**0**	-	**N/A**	**N/A**	**N/A**	**N/A**	**0**	-

7.0 Claims Analysis

For the year under review, life companies paid $125million in net claims (December 2012: $88million).The Industry's total claims bill grew by 40% against net premium growth rate 34% which might be an indicator that the industry is timeously paying claims(See Table 6,below and Table 2,above)

Table6: Claims Categories by Company for the year ended 31December 2014

Co. Name	Death(000)			Maturity(000)			Disability(000)			Surrenders(000)			Funeral (000)			Annuities			Reinsurance			Total Net Claims (000)		
	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-12	Dec-14	%	Dec-13	Dec-14	%
Altfin	0	13	0	134	21	-84%	0	0	0	44	40	-9%	0	0	0	909	0	-100%	0	0	0	1,087	73	-93%
CBZ Life	1,783	2,129	19%	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	239	0	0	1,544	2,129	38%
Econet	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	-
Evolution	54	64	19%	0	0	0	0	0	0	0	0	0	0	0	0	38	28	-26%	0	0	0	92	92	0%
Fidelity	983	1,103	12%	339	17	-95%	0	0	0	228	293	29%	0	0	0	98	236	141%	9	38	322%	1,639	1,611	-2%
FML	1,394	4,067	192%	1,504	6,078	304%	0	0	0	1,880	3,918	108%	1,722	0	0	1,134	1,789	58%	17	242	1324%	7,617	15,611	105%
Heritage	181	171	-6%	1	2	100%	35	0	0	16	51	219%	0	0	0	35	0	0	34	0	0	234	224	-4%
O.Mutual	11,302	11,728	4%	22,812	31,296	37%	182	96	-48%	39,842	44,800	12%	10,390	6,113	-41	0	6,113	0	1,087	299	-72%	83,441	99,846	20%
Zb Life	1,361	1,440	6%	151	314	108%	0	0	0	726	1,309	80%	115	0	0	0	0	0	52	13	-75%	2,301	3,050	33%
Zimnat	4,267	2,921	-32%	869	2,530	191%	0	0	0	165	68	-59%	0	0	0	0	0	0	1,052	88	-92%	4,249	5,431	28%
Nyaradzo	22,535	24,439	8%	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	22,535	24,439	8%
Total	43,860	48,075	10%	25,810	40,258	56%	**217**	**96**	**-56%**	42,901	50,479	18%	**12,227**	6,113	**-50**	2,214	8,166	269%	2,490	680	-73%	124,739	152,506	22%

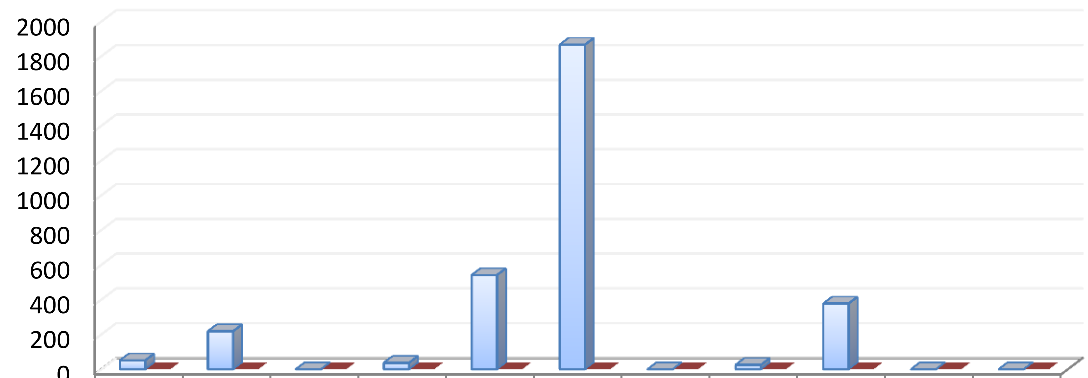
7.0 Claims Aged Analysis

The industry reported that total outstanding claims grew by 32% from $2.4million in December 2013to the current$3million. IPEC considers prompt claims payment for all legitimate claims as a prudential measure and will probe players via offsite and onsite supervision to justify such delays in claims settlements failure of which we apply penalties in terms of the law(See Table 7 and Figure 3,below)

Table 7 : Claims Aged Analysis by Company for the year ended 31 December 2014

Co. Name	>30days($000)			31-60days($000)			61-90days($000)			91-120days($000)			<121 days plus ($000)			Total($000)		
	Dec 13	Dec 14	%	Dec 13	Dec 14	%	Dec 13	Dec 14	%	Dec 13	Dec 14	%	Dec 13	Dec 14	%	Dec 13	Dec 14	%
Altfin	6	-	-	134	-	-	9	3	-67%	0	-	-	30	48	60%	179	51	-72%
CBZ Life	60	125	108%	145	79	-46%	-	11	-	-	4	-	-	0	-	205	219	7%
Econet life	-	0	-		0	-		0	-	-	0	-		0	-	0	0	-
Evolution	-	25	-	-	12	-	-	-	-	-	0	-	-	0	-	-	37	-
Fidelity	242	458	89%	19	49	158%	23	24	4%	13	11	-15	45	0	-100%	342	542	58%
FML	128	993	676%	53	103	94%	46	46	0%	70	27	-61	968	697	-28%	1,265	1,867	48%
Heritage	-	0	-	-	0	-	-	-	-	-	0	-	-		-	-	0	-
O. Mutual	164	25	-85%	-	0	-	-	0	-	-	0	-	-	0	-	164	25	-85%
Zb Life	4	25	525%	10	1	-90%	8	54	575%	7	15	114	171	283	65%	200	378	89%
Zimnat	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Nyaradzo	-	-	-	-	-	-	-	-	-	-	-	-	-	0	-	-	0	-
Total	604	1,651	173%	361	244	-32%	86	138	60%	90	57	(37)	1,214	1,028	-15%	2,355	3,119	32%

Figure 4: Claims Aged Analysis by Company for the year ended 31 December 2014(000)



	Alt	CBZ	Eco	Evol	Fid	FML	Her	O. M	Zb Life	Zimnat	Nyar
Value(000)	51	219	0	37	542	1,867	0	25	378	0	0
share	2%	7%	0%	1%	17%	60%	0%	1%	12%	0%	0%

8.0 Debtors Aged Analysis

The debtors book of life companies amounted to $9million (December 2013:$7million),a 29% growth from the previous year. Given a gross premium figure for the current review period of $300million, the average premium collection rate was 97% (December 2013:97%)(see Table 8,below).

Table 8: Debtors Aged Analysis by Company for the year ended 31 December 2014($000)

Co. Name	>30days($000)			31-60days($000)			61-90days($000)			91-120days($000)			<121 days plus ($000)			Total($000)		
	Dec 13	Dec 2014	%	Dec 12	Dec 2014	%	Dec 13	Dec 2014	%	Dec 13	Dec 2014	%	Dec 13	Dec 2014	%	Dec 13	Dec 2014	%
Altfin	99	27	-73%	96	52	-46%	84	83	-1%	79	492	523%	1,099	910	-17	1,457	1,564	7%
CBZ Life	-	23	-	-	44	-	-		-	-	-	-	-		-	-	66	-
Econet Life	0	0	-		0	-	0	0	-	0	-	-		0	-		0	-
Evolution	44	72	64%	35	68	94%	28	66	136%	74	60	-19%	-	513	-	181	779	330%
Fidelity	432	432	0%	242	182	-25%	177	322	82%	1,216	0	-100%	-	1,883	-	2,067	2,819	36%
FML	301	952	216%	71	19	-73%	239	104	-56%	-	0	-		180	-	611	1,255	105%
Heritage	79	84	6%	88	88	0%	40	72	80%	18	68	278%	249	0	-	474	312	-34%
O. Mutual	-	132	-	-	39	-	-	94	-	-	13	-	-	74	-	-	352	-
Zb Life	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Zimnat	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Nyaradzo	326	0	-100%	509	0	-100%	1,553	0	-100%	-	0	-	-	0	-	2,388	2,120	-11%
Total	**1,281**	**1,722**	34%	**1,041**	**492**	-53%	**2,121**	**741**	-65%	**1,387**	**633**	-54%	**1,348**	**3,560**	**164**	**7,178**	**9,267**	29%

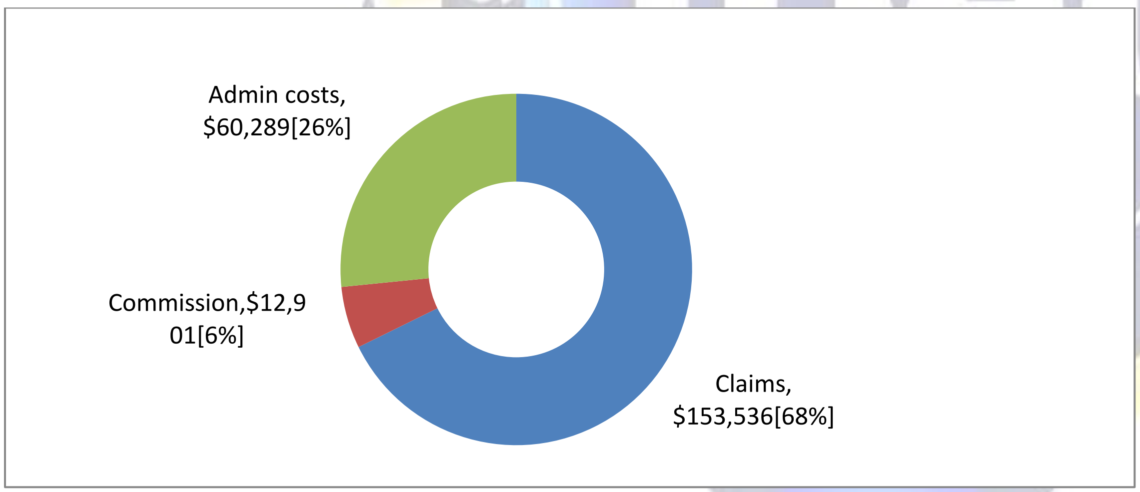
9.0 Earnings

For the year ended 31 December 2014, administration expenditure accounted for26% or $60millionof total costs (December 2013:28% or $53million),claims-68% or $154million(December2013:67% or $125million)whilst the commissionwas6% or $13million(December 2013: 5% or $9million).This culminated in a 72% combined ratio(December 2013: 72%)(See Table 9, below).

Table 9: Key Income and Cost Indicators By Company for the year ended 31December 2014

Co. Name	NPW(000)		Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio	
	Dec-13	Dec-14	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14
Altfin	3,668	2,697	1,087	764	-30%	472	268	-43%	1,718	1,447	-16%	3,277	2,479	-24%	**89%**	93%
CBZ Life	7,464	8,812	1,544	2,330	51%	788	1,458	85%	2,154	2,593	20%	4,486	6,381	42%	**60%**	72%
Econet	-	81	-	21	0	0	0	-	-	423	-	0	444	-	**-**	548%
Evolution	653	1,020	92	92	0%	33	102	209%	699	814	16%	824	1,008	22%	**126%**	99%
Fidelity	11,582	13,608	1,639	1,611	-2%	370	208	-44%	5,795	6,130	6%	7,804	7,949	2%	**67%**	58%
FML	28,139	33,666	7,617	15,611	105%	1,824	1,636	-10%	15,245	15,933	5%	24,686	33,180	34%	**88%**	99%
Heritage	1,362	1,432	234	224	-4%	239	221	-8%	683	851	25%	1,156	1,296	12%	**85%**	91%
O. Mutual	138,384	149,686	83,441	99,847	20%	1,425	1,915	34%	13,519	15,141	12%	98,385	116,903	19%	**71%**	78%
Zb Life	6,779	8,260	2,301	3,166	38%	476	940	97%	2,686	4,507	68%	5,463	8,613	58%	**81%**	104
Zimnat	13,354	14,667	4,249	5,431	28%	542	1,057	95%	3,217	3,175	-1%	8,008	9,663	21%	**60%**	66%
Nyaradzo	46,778	61,741	22,535	24,439	8%	2,783	5,096	83%	7,006	9,275	32%	32,324	38,810	20%	**69%**	63%
Total	**258,163**	**295,670**	**124,739**	**153,536**	23%	**8,952**	**12,901**	44%	**52,722**	**60,289**	14%	**186,413**	**226,726**	22%	**72%**	**59%**

Figure5: Key Cost Indicators By Company for the year ended 31 December 2014(000)



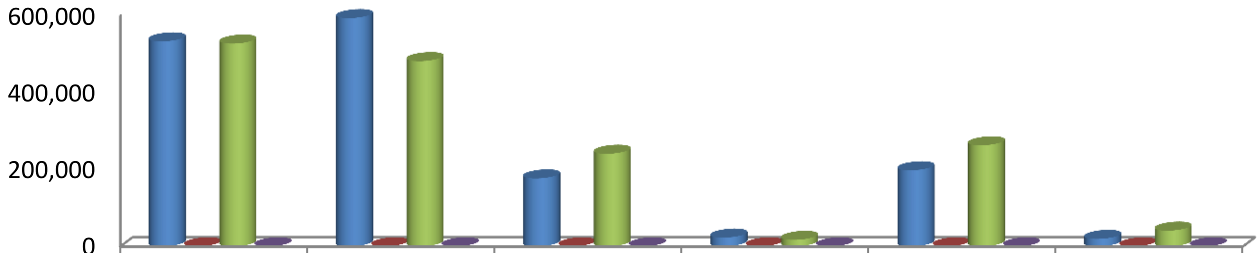
10. Asset Quality

As at 31 December 2014, life industry's asset allocations were in properties, 34% or $527million (December 2014:35% or $533 million}, equities,$482million or 31%(December 2014:38% or$594million), money market, $241million or 15%(December 2014:11% or $177million), cash assets-$17million or 1% (December 2014:1% or $23million), other assets,$263million or 17%(December 2014:13% or $198million) and $41million or 3% on prescribed assets(December 2014:1% or $20million) (See Table 10 and Figure 6, below).

Table 10: Life industry Assets as at31 December 2014

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Dec-13	Dec-14	%	Dec-13	Dec	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec	Dec-14	%
Altfin	1,730	3,039	76%	-	2,436	-	-	2,428	-	136	103	-24%	501	900	80%	-	666	-	2,367	10,172	329%
CBZ Life	305	315	3%	-	0	-	6,320	9,030	43%	516	308	-40%	625	739	18%	605	1,046	73%	8,371	11,438	37%
Econet	0	0	-	-	0	-		0	-	0	2,030	-		725	-		152	-		2,907	-
Evolution	31	11	-65%	-	0	-	225	182	-19%	23	-33	-243%	2,774	3,120	12%	30	100	233%	3,083	3,380	10%
Fidelity	21,791	19,402	-11%	6,127	6,700	9%	5,019	11,447	128%	593	546	-8%	8,148	32,403	298%	-	0	-	41,678	70,498	69%
FML	0	0	-	25,014	24,780	-1%	3,968	3,664	-8%	5,890	3,019	-49%	140,365	154,355	10%	3,529	5,007	42%	178,766	190,825	7%
Heritage	725	696	-4%	-	1,281	-	1,622	43	-97%	49	66	35%	382	778	104%	-	0	-	2,778	2,864	3%
O.Mutual	467,692	452,408	-3%	525,277	426,157	-19%	141,800	187,521	32%	10,098	6,688	-34%	30,488	24,533	-20%	14,715	27,155	85%	1,190,070	1,124,462	-6%
Zb Life	3,433	3,381	-2%	24,141	7,112	-71%	2,752	2,780	1%	45	132	193%	1,546	32,774	2020%	269	1,151	328%	32,186	47,330	47%
Zimnat	17,340	16,850	-3%	12,814	13,030	2%	10,898	17,714	63%	1,389	756	-46%	3,730	899	-76%	95	2,957	3013%	46,266	52,206	13%
Naradzo	20,063	31,190	55%	145	146	1%	4,111	6,075	48%	4,110	3,366	-18%	9,359	11,608	24%	283	2,702	855%	38,071	55,087	45%
Total	533,110	527,292	-1%	593,518	481,642	-19%	176,715	240,884	36%	22,849	16,981	-26%	197,918	262,834	33%	19,526	40,936	110%	1,543,636	1,570,569	2%

Figure 6: Life industry Assets as at 31 December 2014(000)



	Property	Equities	Money Mkt	Cash	Other	P/Assets
Dec,13	533,110	593,518	176,715	22,849	197,918	19,526
%	35%	38%	11%	1%	13%	1%
Dec,14	527,292	481,642	240,884	16,981	262,834	40,936
%	34%	31%	15%	1%	17%	3%

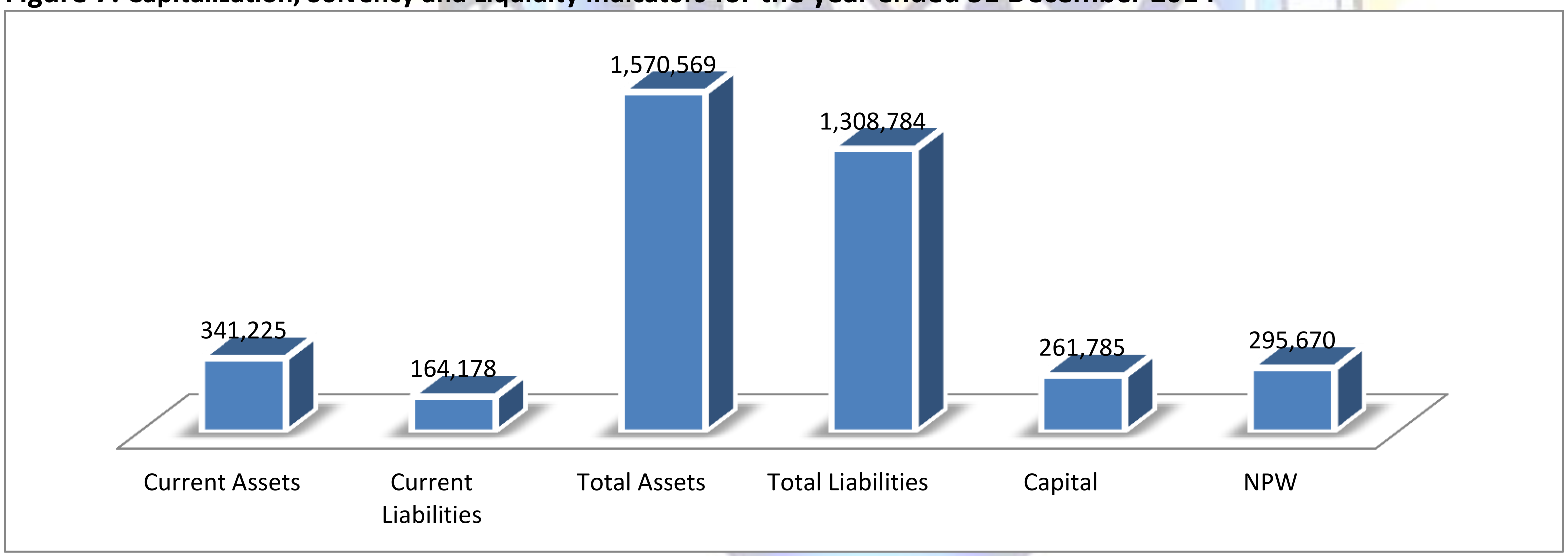
11. Capitalization, Solvency and Liquidity Indicators

Life companies were largely adequately capitalized in excess of $2 000 000 as prescribed by Statutory Instrument 21 of 2013.The industry reported combined capital to liability and liquid ratios of 23% and 208% respectively. Asset liability matching must remain guided by actuarial advice as well as IPEC investment guidelines (See Table 11, below).

Table 11: Capitalization, Solvency and Liquidity Indicators for the year ended 31 December 2014

Co. Name	Current Assets(000)			Current Liabilities			Total Assets(000)		Total Liabilities (000)			Capital (Net Assets)(000)			Net Written Premium (000)		Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)		
	Dec 13	Dec 14	%	Dec 13	Dec 14	%	Dec 13	Dec 14	Dec 13	Dec 14	%	Dec 13	Dec 14	%	Dec 13	Dec 14	Dec 13	Dec 14	%	Dec 13	Dec 14	%
Altfin	637	4,492	605%	1,375	8,806	540%	2,367	10,172	1,841	9,817	433%	526	355	-32%	3,668	2,697	29	4	-27	46	51	5
CBZ Life	7,939	10,633	34%	2,000	1,972	-1%	8,371	11,438	2,390	2,884	21%	5,981	8,554	43%	7,464	8,812	250	297	47	395	539	144
Econet	0	2,111	-	0	59	-	-	2,907	0	59	-	0	2,848	-	-	81	-	4827	-	-	3578	-
Evolution	485	924	91%	611	769	26%	3,083	3,380	611	949	55%	2,472	2,431	-2%	653	1,020	405	256	-149	79	120	41
Fidelity	13,760	44,396	223%	5,204	26,916	417%	41,678	70,498	32,598	57,337	76%	9,080	13,161	45%	11,582	13,608	28	23	-5	264	165	-99
FML	14,980	13,774	-8%	21,782	19,799	-9%	178,766	190,825	109,807	121,746	11%	68,959	69,079	0%	28,139	33,666	63	57	-6	69	70	1
Heritage	1,907	728	-62%	205	178	-13%	2,778	2,864	372	346	-7%	2,406	2,518	5%	1,362	1,432	647	728	81	930	409	-521
O. M	185,409	222,497	20%	49,943	50,259	1%	1,190,070	1,124,462	1,048,635	990,146	-6%	141,136	134,316	-5%	138,384	149,686	13	14	1	371	443	72
Zb Life	3,347	3,472	4%	1,892	1,774	-6%	32,186	47,330	29,925	37,110	24%	2,261	10,220	352%	6,779	8,260	8	28	20	177	196	19
Zimnat	2,826	14,694	420%	2,472	2,992	21%	46,266	52,206	33,842	37,736	12%	12,424	14,470	16%	13,354	14,667	37	38	1	114	491	377
Nyaradzo	17,734	23,504	33%	35,301	50,654	43%	38,071	55,087	35,409	50,654	43%	2,662	4,433	67%	46,778	61,741	8	9	1	50	46	-4
Total	249,024	341,225	37%	120,785	164,178	36%	**1,543,636**	1,570,569	1,295,430	1,308,784	1%	247,907	261,785	6%	**258,163**	**295,670**	19	23	**4**	**284**	208	**-76**

Figure 7: Capitalization, Solvency and Liquidity Indicators for the year ended 31 December 2014



12. Reinsurance

The template for correctly computing retention ratios among other key issues is being worked on to ensure credibility. Otherwise IPEC continues to encourage players to reinsure risk business which is in excess of their capacity.

Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

This report is based on 2 players.

2.0 Business Written

Table 1 below, shows that reinsurers recorded $7.99million in net premiums from $5.74million for the same period last year.

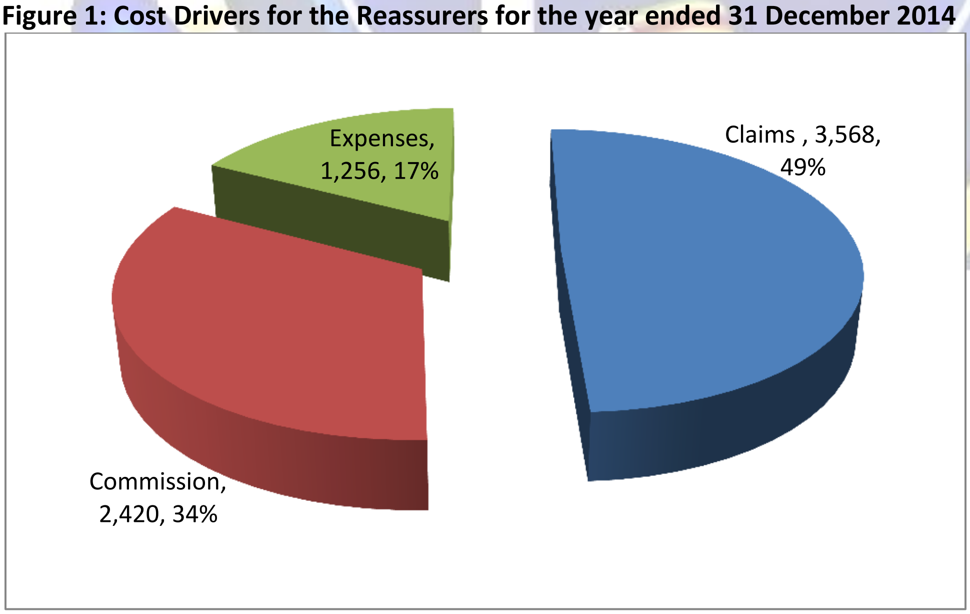
Table 1: Key Performance Indicators for the year ended 31 December 2014(000)

Item	Baobab Re			FM Re			Total		
	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%
Gross Premium Written	5,097	5,483	8%	1,960	4,725	141%	7,057	10,208	45%
Net Premium Written	4,097	4,452	9%	1,643	3,537	115%	5,740	7,989	39%
Gross Claims	1,960	1,806	-8%	736	1,762	139%	2,696	3,568	32%
Net Claims	1,960	1,806	-8%	736	1,762	139%	2,696	3,568	32%
Net Commission	1,135	1,314	16%	384	1,106	188%	1,519	2,420	59%
Management Expenses	907	750	-17%	539	506	-6%	1,446	1,256	-13%
Total Costs	4,002	3,870	-3%	1,659	3,374	103%	5,661	7,244	28%
Underwriting Profit	95	582	513%	(16)	163	919%	79	745	843%
Combined Ratio	98%	87%	-11%	101%	95%	-6%	99%	91%	-8%

3.0 Earnings

For the year ended 31 December 2014, total expenditure grew by 28% whilst net premium written grew by 39% to $7.989million partly due to new cross border sources of business. Reinsurers realized$745 000 in underwriting profit and a combined ratio of91%. The cost distribution was made up of Claims-$3.6million or 49%(December 2013:48% or $2.7million),Commission -$2.4million or 34%(December 2013:27% or $1.5million) and management expenses-$1.3million or 17%(December 2013:26% or $1.4million)(See Table 1 and Figure 1 below).

Figure 1: Cost Drivers for the Reassurers for the year ended 31 December 2014



4.0 Capitalization and Solvency

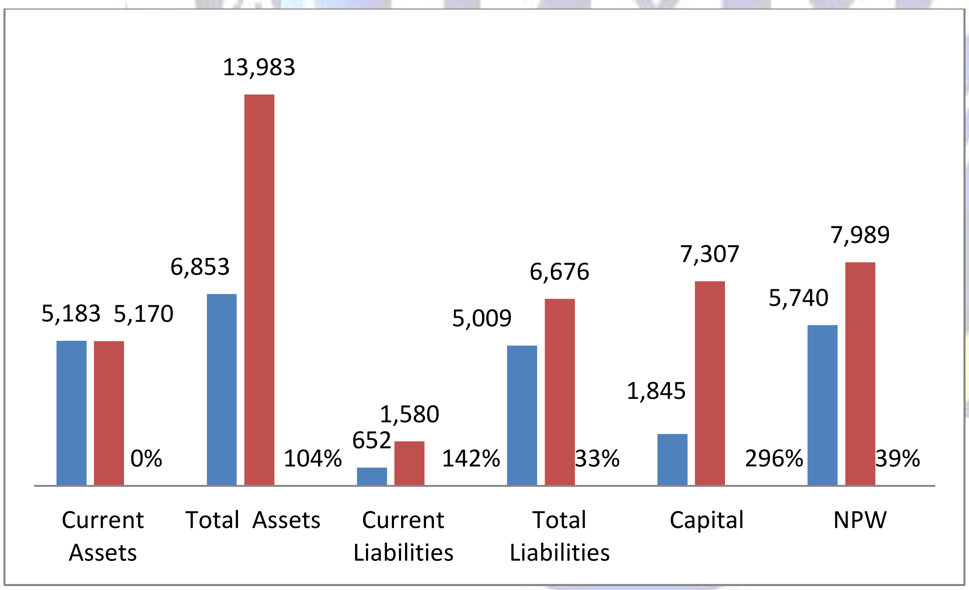
For the current reporting period, one reinsurer is yet to fully comply with the new minimum capital requirements in line with Statutory Instrument 21 of 2013.Rehabilitative engagements are ongoing.

The industry reported a current ratio of 327% and a capital to liability ratio of 102% implying relatively strong financial soundness (See Table 2and Figure 2,below).

Table 2: Capitalization, Solvency and Liquidity Indicators for the year ended 31December 2014(000)

Item	Baobab Re			FM Re			Total		
	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%
Current Assets	3,445	3,196	-7%	1,738	1,974	14%	5,183	5,170	0%
Total Assets	4,617	11,305	145%	2,236	2,678	20%	6,853	13,983	104%
Current Liabilities	576	735	28%	462	845	83%	652	1,580	142%
Total Liabilities	3,898	5,112	31%	1,111	1,564	41%	5,009	6,676	33%
Capital	719	6,193	761%	1,126	1,114	-1%	1,845	7,307	296%
Prescribed Assets	30	180	500%	-	-	-	30	180	500%
Prescribed asset Ratio	1%	2%	1%	-	0	-	-	1%	-
Current Ratio	598%	435%	-163%	376%	234%	-142%	795%	327%	468%
Capital to liability ratio	18%	121%	103%	101%	71%	-30%	37%	109%	72%
Net premium written	4,097	4,452	9%	1,643	3.537	115%	5,740	7,989	39%

Figure 2: Capitalization, Solvency and Liquidity Indicators for the year ended 31 December 2014.



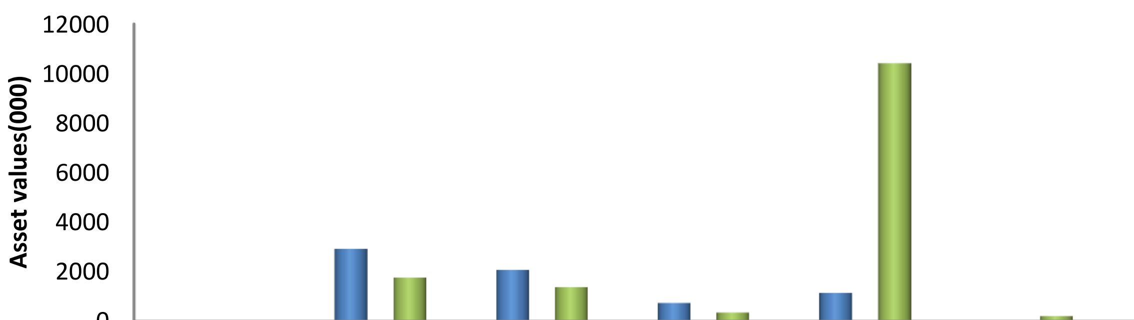
5.0 Asset Quality

As at 31December 2014, players held their assets in equities –12% or $1.73million(December 2013:43% or $2.92million), money-10% or $1.36million(December 2013:30% or $2.05million),Cash-2% or $0.33miilion(December 2013:1% or $0.72million) and other investments-74% or $10.39million(December 2013:16% or $1.12million). Players must be guided by actuarial input and IPEC's investment guidelines in order to achieve sound asset-liability mixes (See Table 3 and Figure 2, below).

Table3: Total Assets for Reassurers for the year ended 31 December 2014

Asset Type	Baobab Re			FM Re			Total		
	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%
Fixed Property (000)	0	0	-	17	0	-100%	17	0	-100%
Equities (000)	2,433	1,069	-56%	482	661	37%	2,915	1,730	-41%
Money Market (000)	600	635	6%	1,450	720	-50%	2,050	1,355	-34%
Cash (000)	648	196	-70%	70	134	91%	718	330	-54%
Other Investments (000	906	9,226	918%	217	1,163	436%	1,123	10,389	825%
Prescribed Assets	30	180	500%	0	0	-	30	180	500%
Total Assets (000)	**4,617**	**11,306**	**145%**	**2,236**	**2,678**	20%	**6,853**	13,984	104%

Figure 2: Total Assets for Reassurers for the year ended 31 December 2014

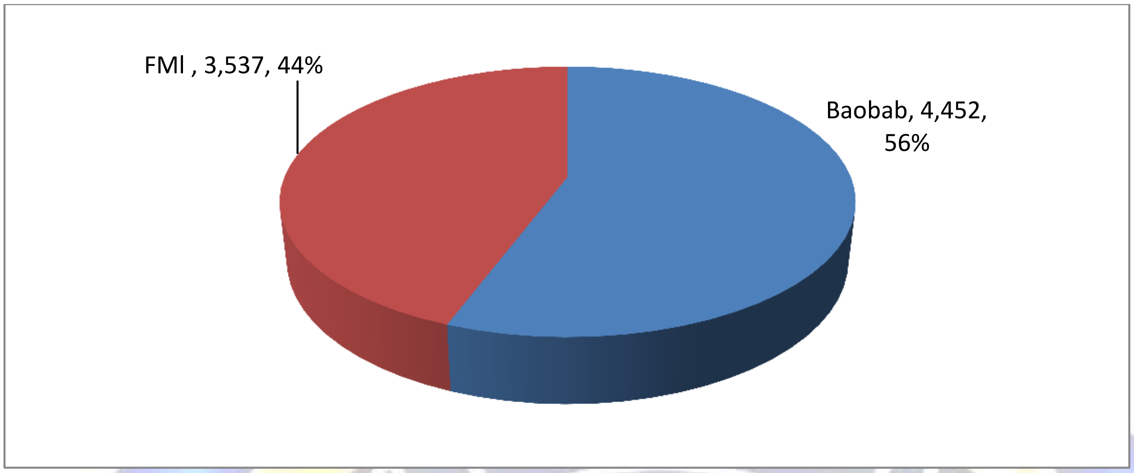


	Property	Equities	Money Mkt	Cash	Other	P/ Assets
Dec-13	17	2,915	2,050	718	1,123	30
share	0%	43%	30%	10%	16%	0%
Dec-14	0	1,730	1,355	330	10,389	180
share	0%	12%	10%	2%	74%	1%

6.0 Market Share

As shown below, Baobab Life commanded56% of the market share with the FM Re Life and Health getting the balance of 44%. Reinsurers are encouraged to utilize their cross border links to come up with relevant new products and diversify markets regionally (See Figure 3,below).

Figure 3: Market share by Gross Premium Written For Reassurers for the year ended 31 December 2014(000)



7.0 Prescribed Assets

Out of a minimum level of 7.5%,the industry's uptake of prescribed paper was 1%. Players are however required to subscribe more to statutory paper to avoid penalties (See Table 8 and 9).

Table 9: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Fidelity Life Assurance	Fidelity Life Assurance Bond-$10million	Funding Development of South view Park	5years	11%	February 2014
NMB Bank	SMEs-$10million	SMEs capitalization	2years	10%	July 2014
IDBZ	IDBZ Bond-$65million	Infrastructure Development	5years	8%	November 2014
AGRIBANK/FBC BANK	Agro bank/FBC Agro bills-$15million	To finance the cropping season	270 & 360 days	10%	July 2014
CBZ	Agro bills-$105 million	Purchase of 2013/2014 grains by GMB	1year	9-12%	October 2014
ZB Financial Holdings	ZB Agro bills-$10 million	To support 2014/15 Agricultural season	270 & 360 days	10%	October 2014
Bindura Nickel Corporation	Bindura Nickel Bond-$20 million	Recapitalization of the mine	5years	10%	November 2014
IDBZ	IDBZ Bond Series 1:$15Million	Funding prepaid meters	5 Years	8%	November 2014
IDBZ	IDBZ Bond Series 2:$50 Million	Funding power generation project	5years	8%	November 2014

8.0 Acts, Statutory Instruments and Circulars

For the quarter under review the Commission circulated or issued the following Act, circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 10: Issued Acts, Circulars and Statutory Instruments for the year ended 31 December 2014

Details	Subject Matter	Issue date
Circular 1 of 2014	Calculation of capital for short term insurers	5 June 2014
Circular No.2 of 2014	Commutation of Pensions	11 April 2014
Circular No.3 of 2014	Dissolution of Pension Funds	03 August 2014
Circular No.4 of 2014	Calculation of Capital for non-life companies	10 September 2014
Circular No. 5 of 2014	Preparation of Financial Statements	9 October 2014
Circular No. 6 of 2014	Modernizing Insurance Regulation in Zimbabwe	9 October 2014
Circular No. 7 of 2014	Actuarial standards for Valuation of Pension Funds	21 October 2014
Circular No. 8 of 2014	Actuarial Standards for short term insurers	14 November 2014

9.0Antimoney -Laundering and Combating of Financing of Terrorism

For the quarter under review the Commission circulated or issued the following Act,circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 11: Issued Acts, Circulars and Statutory Instruments for the year ended 31 December 2014

Details	Subject Matter	Issue date
Money Laundering and Proceeds Of Crime Act Chapt9:24	A Money Laundering and Proceeds Of Crime Act	October 2014
SI 76 of 2014	Suppression of Foreign and International Terrorism	October 2014
Trafficking in persons Act		October 2014
Suppression of foreign and International Terrorism Act		October 2014
Extradiction Act		October 2014
Directive	AML/CFT(Updated Al-Qaeda Sanctions List)	December 2014